

Morning Market Tidbits

Unpleasant tariff math

Higher conviction in our Fed call

The latest tariffs announcements could raise the effective rate by around 5pp. This could pose about 30bp of upside risk to inflation and downside risk to growth. But the latest tariff announcements are far from a done deal. Rather, the extension of the deadline from July 9 to August 1 suggests there is room for negotiation. Still, with the stagflationary shock possibly extending into 2026, it becomes more likely that the Fed will be frozen in place, consistent with our out-of-consensus call of no Fed cuts this year.

The data may not reflect additional tariffs until Q4

If the announced tariffs are implemented on August 1, since it takes two-to-three weeks for goods to travel from Asia to the US West Coast, they will only be fully paid for September imports. Furthermore, those payments will happen until October, and passthrough to prices will most likely take even longer, making it harder for the Fed to judge the inflation trajectory and call the peak in inflation.

Upside risks to our tariff base case

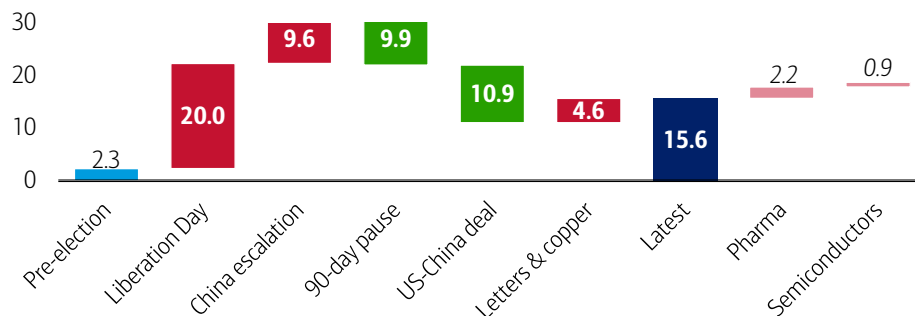
We estimate that the US effective rate would rise to nearly 16% (Exhibit 1). While our structural views remain unchanged, the latest developments pose upside risks to our base case that effective tariffs will settle at around 10%. Especially since more sector-specific tariffs could be announced. Even with a Trump put, tariffs may not get back all the way to the US-China deal lows from May.

Our estimates are closely tracking collected tariffs

As of May, our estimates of effective tariffs are very close to actual collected duties, showing an aggregate effective tariff rate of 9.6%. Still, we find a few discrepancies. Tariff collection for May outpaced our estimates for China, while tariff collection fell short of our estimates for Canada and Mexico.

Exhibit 1: US effective tariffs could climb to 16% or even further

After a trough of 11% with the US-China deal, President Trump's tariff threats are heating up again



Source: BofA Global Research, Haver. Note: 90-day pause includes the electronics exemption. US-China deal includes UK deal. Letters & copper includes Vietnam and Indonesia deals. Pharma and semis show the estimated impact of hypothetical 25% sector-specific tariffs.

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See our latest report: [Some unpleasant tariff arithmetic: beware stagflation risks](#)

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CPI: Consumer Price Index

PPI: Producer Price Index

PCE: Personal Consumption
Expenditure

Market Action

The Asian equity markets that we cover closed positive overnight. Looking at individual markets, the Shanghai Composite was flat, while the Korean Kospi, the Indian Sensex, the Hang Seng and the Nikkei rose 0.4%, 0.7%, 1.6% and 3.5% respectively.

As of 7:00 am ET, aggregate European stocks are up 1.0% and S&P500 futures are up 0.4%. In the bond markets, US Government Bonds are up 2bp to 4.36% and German Bund yields are up 2bp to 2.61%. The dollar index is down \$1.44 to \$97.46. WTI crude oil prices are \$0.44 lower at \$64.87/bbl, and gold prices are at \$3422.67/oz.

US GDP Tracking

Exhibit 3: 2Q GDP tracking is down one-tenth to 2.2% q/q saar largely due to retail sales coming in lower than our above consensus expectations

BofA US GDP tracking estimate (% q/q saar)

Date	Data release	GDP	Final Sales	PCE	Res. Inv.	Struct	Equip	IPP	Gov.	Exports	Imports	Net exports (level)	CIPI (level)
7/9/25	Wholesale Inventories	2.3	-0.2	1.6	-5.3	-6.0	-14.1	-1.0	0.0	-2.4	-26.9	-1075.5	41.1
7/16/25	CPI, PPI	2.3	-0.2	1.6	-5.3	-5.9	-14.1	-1.0	0.0	-2.4	-26.9	-1075.5	41.7
7/16/25	Industrial Production	2.3	-0.2	1.6	-5.3	-6.2	-14.6	-1.0	0.0	-2.4	-26.9	-1075.5	41.7
7/17/25	Retail Sales, Business Inventories	2.2	-0.3	1.5	-5.3	-6.2	-14.6	-1.0	0.0	-2.4	-26.9	-1075.5	43.6
	GDP tracking	2.2	-0.3	1.5	-5.3	-6.2	-14.6	-1.0	0.0	-2.4	-26.9	-1075.5	43.6
	Contribution to GDP growth (pp)			1.0	-0.2	-0.2	-0.8	-0.1	0.0			4.3	-1.7
	BofA official GDP forecast	2.3	0.3	2.0	0.0	-6.0	-15.0	-1.0	0.0	-3.0	-25.0	-1101.5	55.5

Source: BofA Global Research. Our GDP tracking estimate reflects the mechanical aggregation of incoming data that directly informs the BEA's GDP calculations. The process is distinct from our official published GDP forecast. Boldface cells indicate where data have implications for tracking estimates.

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Data preview

Next week the focus is on claims, home sales and durable goods orders

Data in the week ahead

Date	Time	Indicator	Period	BofA Estimate	Consensus	Previous
7/23/25	7:00	MBA Mortgage Applications	Jul 18	—	—	-10.0%
7/23/25	10:00	Existing Home Sales	Jun	4.00M	4.00M	4.03M

Source: Bloomberg, BofA Global Research

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